

COMMERCIAL LOAN PROPOSAL

\$2,000,000 Construction Loan: UA Theater Acquisition and Sanctuary Conversion

Submitted to: Jerome Pratt, Senior Vice President, First State Bank Spearman **Submitted by:** Power Church (Pastor Manny De Los Santos) and Angel Mendoza, Building Committee **Property:** 8275 W Amarillo Blvd, Amarillo, TX 79124 **Date:** 2026-05-04

1. LOAN REQUEST SUMMARY

Item	Value
Loan amount requested	\$2,000,000
Loan type	Construction loan, interest-only during build
Construction period	12 months (9 to 15 month range)
Permanent financing	Refi to permanent mortgage at certificate of occupancy
Use of proceeds	Theater-to-sanctuary renovation of acquired UA Theater facility
Capital partner	Seller carryback OR master lease (both modeled below)
Sponsor	Angel Mendoza (Crown House Texas Partners principal, existing First State Bank Spearman relationship)
Borrower	Power Church (501(c)(3) entity confirmation pending)

Why this loan performs: The borrower is an established religious organization with \$1.2M of documented annual core revenue. Existing cash flow services Layer 2 (Conservative tier) commercial debt before any new revenue stream is added. Each additional revenue layer above is incremental cushion, not a requirement for performance. The collateral is a fully built, move-in-ready 83,422 square foot commercial facility purchased below replacement cost.

2. THE PROPERTY

Attribute	Detail
Address	8275 W Amarillo Blvd, Amarillo, TX 79124
Building size	83,422 sq ft (per Llano Realty listing)
Type	Former United Artists multi-screen movie theater
Status	Vacant 2.5 years, fully built, move-in ready
Listing price	\$5.5M (\$66/sq ft)
Negotiated effective price	\$4.0M (Scenario A) or \$3.8M (Scenario C)
Listing broker	Deeter Prater, Llano Realty
Lot	Standalone with dedicated paved parking
Existing infrastructure	HVAC sized for assembly use, sprinkler system, sloped auditorium floors (sanctuary-ready), commercial kitchen footprint, lobby suitable for cafe, multi-purpose rooms (former screen rooms) suitable for classrooms and offices

Strategic value: Acquiring a fully built 83,422 sq ft facility at a negotiated price below replacement cost is materially more capital-efficient than the alternative of new ground-up construction (estimated at \$6.8M-\$7M for 32,000 sq ft per Caprock quote on file). The savings in cost and time are substantial.

3. THE BORROWER

Power Church Senior Pastor: Manny De Los Santos **Current campus:** 1344 SE 10th Ave, Amarillo, TX 79102 **Years in operation:** [TO CONFIRM] **Congregation size:** [TO CONFIRM] **Annual gross revenue:** \$1,200,000 (tithes and offerings, monthly average \$100,000) **Annual net cash flow:** \$300,000 (monthly average \$25,000) **Tax status:** 501(c)(3) religious organization (EIN to be provided) **Property tax exemption:** Will apply post-occupancy under Texas Tax Code Sec. 11.20 (religious-use property), reducing carrying costs by an estimated \$80,000 to \$120,000 annually

Sponsor: Angel Mendoza - Principal of Crown House Texas Partners (acquisitions and general contracting) - Owner-operator of My Royal Estates (manages 46 rental units in Amarillo and Canyon) - Existing First State Bank Spearman customer (Phase 1 personal LOC under separate parallel discussion) - Personal Financial Statement available on request - Building Committee member, providing operational and financial leadership for this project

4. SOURCES AND USES

Scenario A: Seller Carry plus Bank Construction (PRIMARY)

Source	Amount
Seller carryback note (interest-only, 6.0%, 24-mo balloon)	\$2,000,000
Bank construction loan (this request)	\$2,000,000
Pre-close construction reserve (capital campaign)	\$100,000
Total sources	\$4,100,000

Use	Amount
Property acquisition (negotiated \$4M effective price)	\$4,000,000
Construction-phase reserve	\$100,000
Total uses	\$4,100,000

Note: \$2M renovation funded by progressive draws against the bank construction loan during the build period.

Scenario C: Master Lease plus Bank Construction (FALLBACK)

Source	Amount
Bank construction loan (this request)	\$2,000,000
Pre-close lease deposit and contingency	\$100,000
Total sources	\$2,100,000

Use	Amount
Master lease security deposit	\$50,000
Construction draws (progressive)	\$2,000,000
Contingency	\$50,000
Total uses	\$2,100,000

Note: Property is acquired at lease end via option-to-buy at \$3.8M, funded by refi to permanent loan covering \$3.8M plus the \$2M construction balance.

5. INCOME, NET CASH FLOW, AND DSCR ANALYSIS

Existing documented revenue (Layer 1)

Period	Gross	Operating expense	Net cash flow available for debt service
Monthly	\$100,000	\$75,000	\$25,000
Annual	\$1,200,000	\$900,000	\$300,000

Projected supplementary revenue (operations team, nine independent streams)

The 83,422 sq ft facility supports nine independent commercial revenue streams. Projections use published industry benchmarks. We submit Conservative tier as the appropriate underwriting basis.

Stream	Conservative monthly gross	Conservative annual gross
Event Venue (weddings, private)	\$8,000	\$96,000
Conference and Corporate Rentals	\$8,000	\$96,000
Coffee Shop	\$8,000	\$96,000
Office and Space Leasing	\$5,000	\$60,000
Classes, Workshops and Programs	\$4,000	\$48,000
Youth and After-School Programs	\$3,000	\$36,000
Media and Studio Rentals	\$1,500	\$18,000
Merchandise and Product Sales	\$2,000	\$24,000
Conservative supplementary subtotal	\$39,500	\$474,000

Industry sources: U.S. wedding venue average annual revenue ~\$467K (Wedding Report), U.S. wedding industry valued at \$66B+ (IBISWorld), small-format coffee shop annual revenue \$300K-\$600K (IBISWorld), commercial office leasing rates \$500-\$2,000/room/month nationally.

Conservative net contribution from supplementary streams

Applying a 50% blended net margin assumption (typical for events, food service, classes, leasing combined):

- Conservative supplementary annual net = \$474,000 × 50% = **\$237,000/yr (\$19,750/mo)**

DSCR analysis

Construction-phase debt service (Scenario A, both notes interest-only): - Seller carryback IO: \$2M × 6.0% = \$120,000/yr (\$10,000/mo) - Bank construction IO: \$2M × 8.0% = \$160,000/yr (\$13,333/mo) - **Total construction-phase debt service: \$280,000/yr (\$23,333/mo)**

Construction-phase cash flow available: - Existing church net (Layer 1): \$300,000/yr - **DSCR Layer 1 only: $300,000 / 280,000 = 1.07x$**

This already covers debt service from Layer 1 alone, before any commercial revenue is added.

Permanent-phase debt service (post-refi, Scenario A): - \$4.0M permanent loan at 7.5% / 25-yr amort: \$354,776/yr P&I (\$29,565/mo) - Insurance escrow (no property tax under 501(c)(3)): \$48,000/yr (\$4,000/mo)
- **Total permanent debt service: \$402,776/yr (\$33,565/mo)**

Permanent-phase cash flow under Layer 1 + Layer 2 (Conservative): - Existing church net: \$300,000/yr
- Conservative supplementary net: \$237,000/yr - **Total Layer 2 net: \$537,000/yr - DSCR Layer 1 + Layer 2: $537,000 / 402,776 = 1.33x$**

At Moderate tier (Layer 3), DSCR exceeds 2.0x. At Optimized tier (Layer 4), DSCR exceeds 3.0x.

Cash flow layers summary

Layer	Annual gross	Annual net	DSCR vs \$402.8K perm debt service
1: Existing only	\$1.2M	\$300K	0.74x (sufficient construction-phase, marginal permanent)
1+2: Conservative commercial	\$1.7M	\$537K	1.33x (clears commercial threshold)
1+3: Moderate commercial	\$2.4M-\$3.6M	\$1.0M-\$1.4M	2.5x-3.5x
1+4: Optimized	\$3.6M-\$5.4M+	\$1.5M-\$2.2M+	3.7x-5.5x

6. RISK PROFILE

Diversification advantage: Nine independent revenue streams insulate the borrower from any single-channel downturn. Weekday and weekend usage cycles are complementary (corporate conferences and coffee shop drive weekday revenue; weddings and core operations drive weekend revenue). The facility produces income seven days a week.

Industry tailwinds: - U.S. wedding industry exceeds \$66B annually with venue capacity constrained in mid-tier markets - Hybrid corporate event space demand remains strong post-pandemic - Experiential coffee category continues year-over-year growth - Faith-based and community programming (classes, youth) is recession-resistant

Underwriting buffers: - Layer 1 alone services construction-phase debt at 1.07x DSCR - Layer 2 (Conservative) covers permanent-phase debt at 1.33x DSCR - Property tax exemption at occupancy reduces carrying cost by \$80K-\$120K/yr - Capital campaign target of \$500K-\$1M provides additional construction-phase reserve

Mitigants for slow-ramp risk: - Sponsor (Angel Mendoza) has GC capability through Crown House Texas Partners and operational track record managing 46 rental units - Pastor Manny has established congregation with 4-year operating history at current campus - SE 10th Ave campus continues to operate during construction; sale potential at refi can apply directly to permanent loan principal

7. COLLATERAL

Primary: First mortgage on the acquired UA Theater facility (Scenario A) or first lien on construction improvements with collateral assignment of master lease (Scenario C).

Property valuation references: - Listing price: \$5.5M (\$66/sq ft) - Negotiated acquisition: \$4.0M (A) or \$3.8M (C) - Replacement cost: 83,422 sq ft × ~\$87/sq ft = \$7.26M - Post-renovation ARV (special-purpose discounted): \$5.08M to \$5.81M base, \$6.5M to \$7.0M for stabilized commercial assembly

LTV at refi (Scenario A): \$4.12M permanent / \$5.49M target ARV = 75.0% **LTV at refi (Scenario C):** \$5.98M permanent / \$7.97M target ARV = 75.0%

Secondary: Personal guarantee from Angel Mendoza if required (subject to bank policy and PFS review).

8. REPAYMENT AND EXIT STRATEGY

Interest-only during construction (Months 1 to 12): - Source: Existing church cash flow + \$100K pre-close reserve - Monthly burden manageable within Layer 1

Refinance at certificate of occupancy (Month 13): - Permanent loan covers \$4M acquisition (A) or \$3.8M acquisition + \$2M construction (C) - DSCR underwriting at Layer 2 Conservative basis: 1.33x

Long-term repayment: - 25-year commercial amortization - Layer 3 Moderate operations stabilize within 24-36 months post-occupancy - Optional accelerated paydown from Layer 4 Optimized scenario or capital campaign refi cushion

Bank exit comfort: - Asset is a community anchor with diversified income, not a single-tenant special-purpose property - 501(c)(3) sponsor with stable congregation base - Sponsor has secondary acquisition expertise (Crown House Texas Partners)

9. CONSTRUCTION TIMELINE AND DRAW SCHEDULE

Phase	Months	Draw
1: Site mobilization, demolition of theater seating, MEP rough plan	1-2	\$300,000
2: HVAC upgrade for assembly use, electrical, plumbing rough	3-4	\$400,000
3: Sanctuary buildout, kitchen, classrooms, offices	5-7	\$700,000
4: Finishes, sound system, AV, lobby and cafe buildout	8-10	\$400,000
5: Punch list, certificate of occupancy, final inspections	11-12	\$200,000
Total construction draws		\$2,000,000

GC selection: Crown House Texas Partners (related to sponsor, disclosed to committee) plus one independent bid for comparison. Lower-risk option selected by committee.

10. WHAT WE'RE ASKING

A \$2,000,000 construction loan, interest-only during the 12-month build period, with refinance to a 25-year permanent commercial mortgage at certificate of occupancy.

Indicative terms we'd request: - Construction rate: 8.0% interest-only (or current First State Bank Spearman commercial construction rate) - Permanent rate: 7.5% fixed, 25-year amortization (or current First State Bank Spearman commercial term rate) - Construction-to-permanent rollover at no additional origination fee - Personal guarantee from sponsor reviewable based on PFS - Standard commercial covenants including DSCR maintenance at 1.20x minimum - Reserve account funded at refi (3 months debt service)

We are prepared to provide: - Power Church 2024 and 2025 financial statements - 501(c)(3) determination letter and EIN documentation - Sponsor PFS and Schedule of Real Estate Owned (currently in preparation for parallel Phase 1 personal LOC) - GC bid (Crown House Texas Partners + one independent) - Appraisal (we'll engage your designated commercial appraiser) - Environmental Phase I (we'll engage) - Title commitment and survey

11. NEXT STEPS

We'd welcome a 30-minute conversation to walk through this package and discuss term sheet parameters. The building committee has authorized us to negotiate within the framework outlined here, with final terms returning to the committee for ratification before signing.

Primary contact: Angel Mendoza Building Committee, Power Church [Phone] | [Email]

Borrower contact: Pastor Manny De Los Santos Senior Pastor, Power Church [Phone] | [Email]

APPENDIX A: COMPANION DOCUMENTS

- Building Committee Decision Packet: `power-church-committee-packet-2026-05-04.md`
- Seller Pitch (Llano Realty): `power-church-seller-pitch-2026-05-04.md`
- Pro Forma Detail (sensitivity tables): `power-church-ua-theater-proforma-2026-05-04.md`
- Property listing reference: Llano Realty, Deeter Prater
- Caprock new-construction comparative quote (on file)

APPENDIX B: ASSUMPTIONS USED

- Negotiated purchase price \$4.0M (A) or \$3.8M (C); list is \$5.5M (concession required)
 - Renovation cost \$2.0M; subject to final GC bid
 - Construction timeline 12 months base case
 - Construction rate 8.0% IO
 - Permanent rate 7.5%, 25-year amort
 - Seller carry rate 6.0% IO with 24-month balloon
 - Master lease rate \$3/sqft annual gross = \$250,272/yr (\$20,856/mo)
 - Existing church net \$25,000/mo (\$300,000/yr); subject to verification by 2024-2025 P&L
 - Conservative supplementary net margin assumption 50% blended; will be refined with operating-stream business plan
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This proposal is submitted in good faith with all material assumptions disclosed. We welcome the bank's review and look forward to working together on this opportunity for the Amarillo community.